

# NO RATE CUT IN BEST INTEREST

**Ignoring global cues and domestic pressures, RBI has chosen to maintain high interest rates, as the spectre of inflation and a stronger rupee on the back of strong capital inflows looms large**

■ By Malini Bhupta

If you were hoping that the high EM of your home loan would come down from this quarter, thanks to a cut in interest rates, then you are in for disappointment. Ignoring a soft interest rate regime in the US, RBI Governor Yaga Venugopal Reddy has chosen to maintain a status quo and refused to cut interest rates. While high rates have been burning a hole in the pockets of retail borrowers, RBI governor has more serious things on his mind than mortgage customers bearing the burden of bloated monthly payouts. Reddy says: "For us the domestic policy considerations dominate."

No wonder banks are not biting the bullet and lowering rates even though the indication is clear that lending rates have peaked in India. According to Chanda Kochhar, deputy managing director of ICICI Bank: "Banks, including ICICI Bank, will keep watching the situation for the entire fourth quarter."

When you are the governor of a central bank, not doing anything can also do a lot of good to the economy. Rather than getting carried away by what the markets and corporates want, Reddy has chosen to play it safe by not cutting the interest rates. Expectations of a rate cut had increased due to an inter-meeting cut of 75 basis points by the US Federal Reserve last week. However, heightened uncertainty in the global markets and signs of a slight moderation in economic growth—particularly reflected in exports, rate-sensitive sectors and bank credit—have forced Reddy to

maintain status quo. Morgan Stanley Mutual Fund Executive Director Navneet Munot says, "RBI has been on a mission to bring down long-term inflationary expectations and it cannot afford to squander the gains accumulated over the last few years."

By keeping all the key rates unchanged, RBI has taken a neutral stance. Given the US Federal Reserve's rate cut, the broader market had factored in a rate cut in India too, and the volatility following the credit policy announcement was a result of this. Sameer Kulkarni, fund manager with Fidelity Fund Management, believes: "Given the continuing concern around liquidity and inflation and the uncertainty in the global markets, RBI is right in adopting a wait and watch policy before going in for a softening of interest rates."

In order to understand the real reasons behind Reddy's inaction, it is crucial to take a closer look at some of the key growth drivers of the economy. With money supply growing at over 22 per cent and commodity prices remaining high, inflation is unlikely to soften anytime soon, especially since fuel prices have not changed since February 2007. Industrial production on the other hand has been slowing down with the Index of Industrial Production (IIP) registering a slower growth—9.2 per cent in April-November 2007 compared to 10 per cent in the same period in the previous year. While industry has been demanding a benign interest regime for its expansion plans, the central bank obviously cannot take the risk of allow-



**REDDY RECKONER:** The RBI governor adopts a wait-and-watch policy

**PAUSE AND EFFECT**

**NO RATE CUT BECAUSE:** Dollar inflows and high deposit growth have kept liquidity high. In case of a rate cut, higher credit offtake will put more money in people's hands fuelling inflation.

ing a rally in the equity markets, which would attract higher capital inflows and consequently result in a stronger rupee. While non-food credit has decelerated, growth in money supply and aggregate deposits of scheduled commercial banks continues to expand well above the indicative projections, inflation has been "artificially suppressed".

Faced with a triple whammy of capital flows, inflation and exchange rate crisis, RBI has done nothing that would alter the existing challenging

**"For us the domestic policy considerations dominate."**

Y.V. REDDY, GOVERNOR OF THE RESERVE BANK OF INDIA